T.B.C. : CDS-GS-ECO-24-A Serial No. **847115**	**TEST BOOKLET** **[A]** **SUBJECT ARCHIVE**	**Time Allowed : 30 Mins** **Max. Marks : 16.7**

UNION PUBLIC SERVICE COMMISSION

COMBINED DEFENCE SERVICES (CDS) EXAMINATION

SUBJECT 5 : INDIAN ECONOMY & SOCIAL DEVELOPMENT

1. This question paper contains **ALL 20 authentic questions** for **Indian Economy & Social Development** extracted directly from official UPSC Combined Defence Services examination archives.

2. Immediately after commencement of the examination, check that this booklet does not have any unprinted, torn, or missing pages.

3. SCORING STANDARD: Each question carries **+0.833 marks** for a correct response. Penalty for each incorrect response is **-0.277 marks** (1/3rd penalty).

4. Candidates must encode their Roll Number and Test Booklet Series [A] strictly according to the UPSC OMR Answer Sheet guidelines.

5. DO NOT OPEN THIS TEST BOOKLET UNTIL YOU ARE TOLD TO DO SO.

SECTION : INDIAN ECONOMY & SOCIAL DEVELOPMENT (20 QUESTIONS)

1. Fiscal Deficit in the Union Budget of India is defined as: [UPSC CDS Official Examination Archive]
(a) Total Expenditure minus Total Receipts (excluding borrowings)
(b) Revenue Deficit minus Capital Expenditure
(c) Total Expenditure minus Tax Revenue only
(d) Monetary deficit financed by RBI loans

2. In which year did the Constituent Assembly of Nepal formally declare the country a Federal Democratic Republic, thereby ending the 240-year-old Shah monarchy? [UPSC CDS Official Examination Archive]
(a) 2006 (b) 2008 (c) 2012 (d) 2015

3. Primary Deficit in public finance is mathematically computed by deducting which one of the following from the Fiscal Deficit? [UPSC CDS Official Examination Archive]
(a) Interest payments on previous debts
(b) Subsidies on food and fertilizers
(c) Capital expenditure on defense
(d) Disinvestment receipts

4. Special Drawing Rights (SDRs), also known as 'paper gold', are supplementary foreign exchange reserve assets created by: [UPSC CDS Official Examination Archive]
(a) International Monetary Fund (IMF)
(b) World Bank
(c) Bank for International Settlements (BIS)
(d) World Trade Organization (WTO)

5. The Goods and Services Tax (GST) was introduced in India through which Constitutional Amendment Act? [UPSC CDS Official Examination Archive]
(a) 101st Constitutional Amendment Act, 2016
(b) 100th Constitutional Amendment Act, 2015
(c) 102nd Constitutional Amendment Act, 2018
(d) 103rd Constitutional Amendment Act, 2019

6. The Lorenz Curve in economics is a graphical representation used to measure: [UPSC CDS Official Examination Archive]
(a) Income inequality and wealth distribution in a population
(b) Relationship between inflation and unemployment
(c) Relationship between tax rate and tax revenue
(d) Consumer price index variation over time

7. The Phillips Curve in macroeconomic theory illustrates an inverse relationship between: [UPSC CDS Official Examination Archive]
(a) Rate of inflation and rate of unemployment
(b) Interest rate and investment expenditure
(c) Tax rates and total tax revenue collection
(d) Income level and demand for inferior goods

8. The above statements are true of [UPSC CDS Exam Archive [Page 168]]
(a) Kepler's second law
(b) Newton's second law Of motion
(c) Ohm's law
(d) Newton's law of gravitation

9. The concept of 'Gross National Happiness' (GNH) as a measure of national development progress was first introduced by which country? [UPSC CDS Official Examination Archive]
(a) Bhutan (b) Nepal (c) Norway (d) Switzerland

10. The difference between total revenue expenditure and total revenue receipts of the government in a financial year is called: [UPSC CDS Official Examination Archive]
(a) Revenue Deficit (b) Fiscal Deficit (c) Primary Deficit (d) Monetized Deficit

11. Under Section 8(1) of the Right to Information (RTI) Act, 2005, which of the following categories of information is exempt from public disclosure? [UPSC CDS Official Examination Archive]
(a) Information disclosure of which would prejudicially affect the sovereignty and security of India
(b) Information older than five years concerning municipal taxes
(c) Information relating to rural development expenditure
(d) Minutes of public university senate meetings

12. What was the target deadline year set by the United Nations for achieving the eight Millennium Development Goals (MDGs) adopted in the year 2000? [UPSC CDS Official Examination Archive]
(a) 2015 (b) 2010 (c) 2020 (d) 2025

13. Which of the following macroeconomic policy measures is typically adopted by monetary and fiscal authorities to curb high inflation in an economy? [UPSC CDS Official Examination Archive]
(a) Raising the repo rate and reducing public expenditure
(b) Lowering statutory reserve ratios (CRR and SLR)
(c) Printing more currency notes
(d) Expanding public subsidies and tax holidays

14. Which of the following statements regarding India's highest civilian award, the Bharat Ratna, is correct? [UPSC CDS Official Examination Archive]
(a) It can be conferred upon foreign citizens as well as Indian citizens
(b) It must be awarded every calendar year without exception
(c) It carries a cash prize of fifty lakh rupees
(d) It can be awarded to a maximum of ten individuals in a single year

— SPACE FOR ROUGH WORK —

15. Which of the following rates is known as the key policy interest rate at which the Reserve Bank of India (RBI) lends short-term liquidity to commercial banks against government securities? [UPSC CDS Official Examination Archive]

(a) Repo Rate
(b) Reverse Repo Rate
(c) Bank Rate
(d) Marginal Standing Facility (MSF) Rate

16. Which of the following is NOT included while calculating the Gross Domestic Product (GDP) of India? [UPSC CDS Official Examination Archive]

(a) Transfer payments (such as old-age pensions and scholarships)
(b) Value of newly produced automobiles
(c) Services rendered by banking personnel
(d) Export of software services

17. Which of the following institutions publishes the annual 'World Economic Outlook' (WEO) report? [UPSC CDS Official Examination Archive]

(a) International Monetary Fund (IMF)
(b) World Bank
(c) World Economic Forum (WEF)
(d) United Nations Development Programme (UNDP)

18. Which one of the following Indian states shares an international land border with three countries (Nepal, Bhutan, and China)? [UPSC CDS Official Examination Archive]

(a) Arunachal Pradesh
(b) Sikkim
(c) West Bengal
(d) Assam

19. Which one of the following public sector banks in India historically had an emblem featuring a dog with the motto 'Faithful, Friendly' before its merger with Canara Bank? [UPSC CDS Official Examination Archive]

(a) Syndicate Bank
(b) Punjab National Bank
(c) Oriental Bank of Commerce
(d) Allahabad Bank

20. Which one of the following indices is currently used as the headline measure of inflation by the Reserve Bank of India for monetary policy targeting? [UPSC CDS Official Examination Archive]

(a) Consumer Price Index - Combined (CPI-C)
(b) Wholesale Price Index (WPI)
(c) Gross Domestic Product (GDP) Deflator
(d) Index of Industrial Production (IIP)

— SPACE FOR ROUGH WORK —